

DAK GURU STUDY MATERIAL

Inspector of Posts / PS Group 'B' Examination

POSTAL MANUAL VOLUME II PAPER II

Appeals & Petitions • Personal Matters • Security Deposits • Forged Stamps, Coins & Currency

Chapters III • IV • V • VII

Split strictly per the LDCE PS Group 'B' Syllabus

DoP letter No. 9-04/2018-SPG-II dated 05.09.2019, as corrected 30.12.2019

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DISCLAIMER

This booklet has been prepared strictly from an examination point of view. While every effort has been made to ensure accuracy and to incorporate recent changes, amendments, notifications and circulars relating to the Department of Posts IT Modernisation Project 2.0 and the Advanced Postal Technology (APT) platform, this document is intended as a study aid only. Operational workflows are based on the APT application interface and departmental Standard Operating Procedures as compiled, and may be revised by the Department from time to time. Readers and aspirants are strongly advised to refer to official Department of Posts orders, SOPs, manuals and gazette notifications for the most reliable and authoritative position before relying on any provision herein.

Syllabus Map — What Paper II Demands

Postal Manual Volume II is split across BOTH papers of the LDCE. In Paper II it appears at S.No. 29 of the subject list, which names four chapters. This booklet carries all four — complete.

Syllabus entry (Paper II, S.No. 29)	Rules	Covered here
Chapter III — Appeals and Petitions	115–122	Part A ✓
Chapter IV — Personal matters	127–174-A	Part B ✓
Chapter V — Security Deposits	191–260	Part C ✓
Chapter VII — Forged, Counterfeit and Defaced Postage Stamps, Coins and Currency Notes	386–404/2	Part D ✓

VERIFIED AGAINST THE OFFICIAL MANUAL

This edition has been checked against the **Postal Manual Volume II, Fourth Revised Edition** (published under the authority of the Director General Posts). The official preface confirms the volume contains **11 Chapters and 13 Appendices**, and that **Chapter II has been deleted** — which is why the numbering jumps from I to III.

Chapter VII is now included in full (Rules 386–404/2), in its three official Sections. Earlier Dak Guru drafts wrongly carried a “Chapter 7 — Stationery”: the official text shows the stationery rules (341-A–385) fall inside **Chapter VI (Stock)** and belong to **Paper I**. That error is corrected.

NOTE ON THE SYLLABUS ITSELF

Source: DoP letter **No. 9-04/2018-SPG-II dated 05.09.2019**, as modified by the corrigendum of the same number **dated 30.12.2019** (Paper II item 26: “Prevention of Corruption Act 1890” to be read as “1988 read with its (Amendment) 2018”). A proposal to further amend the syllabus was circulated in **August 2022**; no revised syllabus traced as issued.

Cut-off rule: circulars / orders / guidelines / Rules issued **up to 31st December of the year preceding the examination** form part of the syllabus.

Part A | Chapter III – Appeals and Petitions

Rules 115–122. How a Government servant may represent against an order — appeal versus petition, the proper channel, time limits, and the grounds on which a petition may be withheld.

Rule 115. Classification of Representations

Any representation made by a Government servant that is not technically an appeal is classified as a **petition**. A petition not made against a decision on a previous communication must be addressed to the authority competent to pass orders on the subject matter, and submitted through the proper channel — through the official's immediate superior and onward.

STUDY NOTE — APPEAL VS PETITION

An **appeal** is a formal challenge to a specific order under a defined rule (e.g. against a penalty under the CCS (CCA) Rules). A **petition** is the residuary category — anything that is not an appeal.

Rule 116. Submission of Petitions

- **Individual submission:** every employee must petition separately in his or her own name. Joint petitions are inadmissible.
- **Identical petitions:** permitted only if the circumstances represented apply personally to each individual submitting them.
- **Content & language:** clear, concise, temperate, respectful, free of irrelevant matter, ending in a specific prayer.

Rule 117. Hierarchy for Submission

A petition to a higher authority must carry a copy of the order challenged and be routed through the very officer who passed it.

Order passed by	Petition lies to	Routed through
Inspector of Posts (IP)	Superintendent of Post Offices	the Inspector
Superintendent of Post Offices	Director of Postal Services (DPS)	the Superintendent
Director of Postal Services (DPS)	Head of Circle (major) / Director General (minor Circles)	the DPS
Head of Circle	Director General	the Head of Circle

DISCIPLINARY CASES — CCS (CCA) RULES, 1965

Petitions filed after the appellate stage are addressed to the Head of Circle or Member (Personnel). A **review petition under Rule 29-A** is submitted to the **President** (Rule 29 being revision). *Verified — the CCS (CCA) Rules, 1965 remain in force.*

Rule 118. Disposal and Transmission

- **Direct submission:** petitions bypassing the proper channel are liable to be filed without notice.
- **Forwarding:** the receiving officer forwards with a full statement of the case, all relevant documents, and a definite recommendation.
- **Translation:** a regional-language petition needs an English translation appended.
- **Competency:** no petition lies to a higher authority unless the next lower competent authority has already been addressed.

Rule 118-D. Limitation Period

A petition is liable to be **rejected without investigation** if submitted more than **6 months** after the date the petitioner was informed of the order.

MEMORY AID — COUNTING THE 6 MONTHS

Counted from the date of the **original order** — not from any subsequent order on reconsideration. A fresh representation does not restart the clock.

Rule 120. Withholding of Petitions — Nine Grounds

The Head of Circle (or an authority subordinate to the DG) may withhold a petition addressed to the Director General on the grounds below, and must inform the petitioner of the fact and the reasons.

- **Transfers** ordered in the interest of service — unless the officer is transferred frequently at short intervals.
- **Unfitness for permanent employment** — removal of probationers, temporary officials or learners (excluding specific offences such as fraud).
- **Resignation** — voluntary, unconditional.
- **Improper language** — illegible, unintelligible, disrespectful or improper.

- **Repetitive** — previous petition disposed of, no new facts.
- **Premature** — lower competent authority not yet approached.
- **Time-barred** — after 6 months without reasonable cause.
- **Employment / exemption** — applications for employment not based on the rules, or exemption from prescribed qualifications.
- **Termination (temporary service)** — against termination under Rule 5, CCS (Temporary Service) Rules 1965, if filed after 3 months.

Rule 121. Report of Withheld Petitions

A list of all petitions withheld under Rule 120 is forwarded **quarterly** to the Director General.

Rule 122. Petitions to the President

Forwarded to the DG by the Head of Circle with a concise statement of facts and an expression of opinion. Petitions merely addressed to the “Chairman” or a “Member” of the PSB are **not** petitions to the President or DG, and are returned for correction.

EXAM INSIGHT – CHAPTER III

6 months from the original order (118-D); joint petitions inadmissible; withheld list quarterly to DG (121); “Chairman/Member PSB” ≠ President (122); competency rule — no level-skipping.

Part B | Chapter IV — Personal Matters

Rules 127–174-A. Legal advice, civil suits, signing of complaints, criminal prosecutions, framing of charges, Government Pleader, jury exemption and funeral expenses — read with the current DFPR 2024 and the BNS / BNSS, 2023.

Rule 127. Legal Advice and Civil Suits

In important cases at or near Kolkata, Chennai, Mumbai, or other stations where a Government Solicitor or Law Officer is available, that officer's advice must be obtained before proceeding. As a general rule the Head of Circle must obtain the DG's orders before instituting a civil suit, or acting on notice of a suit against the Department.

Exceptions (Delegated Powers)

- **Security bonds:** suits connected with the security bonds of postal servants.
- **Transaction losses:** suits on Money Orders, Savings Bank transactions and insured articles, within the prescribed limit.

LEGISLATIVE UPDATE — MONETARY LIMITS NOW DFPR 2024

The small rupee figures in the original Manual (e.g. Rs. 500 / Rs. 250) are **historical and obsolete**. Financial powers to institute or defend suits now flow from the **Schedule of Financial Powers issued under Rule 12(2) of the Delegation of Financial Powers Rules (DFPR), 2024** — which replaced DFPR 1978 with effect from 1 April 2024.

Source: DFPR 2024 (MoF/DoE), in force 01.04.2024; DoP Schedule of Financial Powers issued thereunder.

Rule 127-A. Signing of Complaints

All Gazetted Officers fully conversant with the facts may sign and verify **complaints and written statements** in civil suits by or against the Central Government, and sign vakalatnamas.

Rule 133. Institution of Criminal Proceedings

- **Non-cognizable cases:** no prosecution without the previous sanction of the Head of Circle.
- **Emergency exception:** if delay would let the accused escape, sanction may be anticipated — but reported immediately, by email or post, to the HoC.

Rule 135. Conduct of Prosecutions

A written complaint is preferred before the nearest empowered Magistrate.

Rule 138. Framing of Charges

Manual text: an accused may be tried at a single trial for not more than **three** charges of the same kind, committed within 12 months reckoned from the first offence to the last.

UPDATED — THREE CHARGES IS NOW FIVE

Rule 138 mirrors the old CrPC §219. Under the successor joinder-of-charges provision of the BNSS, 2023, the ceiling has been **raised to five** offences of the same kind within twelve months. **Quote FIVE for the current position.** The twelve-month window is unchanged.

Rule 146. Employment of Government Pleader

- **Scope:** represents Government in criminal appeals and Sessions cases, not ordinary Magistrate cases.
- **Fees:** if a special fee applies, engaging him requires the sanction of the Head of Circle.
- **Ordinary cases:** no legal assistance ordinarily required before a Magistrate.

Rule 152. Exemption from Jury Service

All persons employed in the Department of Posts are **exempt** from liability to serve as jurors or assessors.

STUDY NOTE — HISTORICAL ONLY

Learn the rule, but note: **jury trials were abolished in India**, and neither the CrPC nor the BNSS provides for juries.

Rule 174-A. Funeral Expenses

Debited to the **Contingent Grant** of the office concerned where an employee dies in departmental premises, or on duty at an out-station where the body cannot be attended to by relatives.

CROSS-REFERENCE — THE NEW CRIMINAL CODES

The **Bharatiya Nagarik Suraksha Sanhita (BNSS), 2023** replaced the CrPC 1973, and the **Bharatiya Nyaya Sanhita (BNS), 2023** replaced the IPC 1860 — both in force from **1 July 2024**. The Manual's cognizable / non-cognizable classification and trial procedure now flow from these codes.

Part C | Chapter V — Security Deposits

Rules 191–260. Who furnishes security, the permitted forms, verification of sureties, refund, retention and destruction of bonds, and the time limits.

Rule 191. Officials Required to Furnish Security

Circle & Administrative Offices	Post Offices & R.M.S.
Cashiers	Departmental Sub-Postmasters (Classes A, B, C)
Managers / Asst. Managers & Assistants in RLO	Treasurers and Assistant Treasurers
Group 'C'/'D' staff handling cash / valuable stock	Cashiers in Sub / Head Record Offices
Record Suppliers / Daftaries in Stores Depots	Sorting Assistants and Mail Guards
	Head Postmen, Cash Overseers, cash-escort staff
	Mail / Van Peons, Packers, Runners handling cash

Amount of Security

- **Cash / Savings / Government Notes:** two-thirds of the standard security amount.
- **Stamp Vendors:** 20 times the vendor's pay, subject to the prescribed maximum.

Rule 192. Exemptions

- **High pay / long service:** pay above a fixed limit, or 20 years' service — at the Divisional Head's discretion.
- **Pensioners:** retired servants re-employed as GDS BPM, Postmen etc. already drawing a pension.

Rule 194. Forms of Security

- **Cash** — deposited in the Post Office Savings Bank (POSB).
- **Government Promissory Notes** or Post Office Savings Certificates (POSC).
- **Personal Bond** supported by two sureties.

IMPORTANT RESTRICTION

Acting Postmen and Village Postmen must **always** furnish a **Personal Bond** — never cash or promissory notes.

Rule 211. Execution of Bonds

The attesting witness must be an official **above the rank of Postman**.

Rule 218. Verification of Securities

- **Frequency:** annually.
- **Scale:** fewer than 40 bonds — verify at least one; more than 40 — one per 40 (or fraction).
- **Fresh security:** if a surety dies, becomes insolvent or withdraws, and the principal has less than 10 years' service.

Rule 222. Refund of Security

Not refunded until **six months** from death/insolvency of the principal, notice of withdrawal, or the official leaving service.

Rule 225. Pledging of Security

- **Gazetted Officers:** to the Appointing Authority.
- **Non-Gazetted:** to their immediate superior, who must be Gazetted.

Rule 227. Custody of Passbooks

Kept by the Head of Office, locked in a **tin box** with the bonds; account number entered in the Register of Bonds (**Form Sec. 19**).

Rule 240. Alteration of Form

A Personal Bond may be replaced by cash / Government security at any time. The new deposit must be at least **two-thirds** of the standard amount; each instalment at least **one-sixth** of pay.

Rule 247. Retention and Destruction of Bonds

- Preserve expired / replaced bonds for 5 years (limitation for a breach is 30 years).
- On promotion to Inspector / Supervisor — preserve for one year after confirmation.

Rule 249. Inadmissible Sureties

- Professional money-lenders — strictly prohibited. Soldiers — not accepted. Ladies — not advisable unless single or widows and no male surety available.

STUDY NOTE — AN ARCHAIC CLAUSE

The “ladies” restriction is reproduced from the original Manual text. It is **archaic** and should be read subject to current constitutional equality norms.

Rule 250. Time Limits for Furnishing Security

- Temporary post — one month; permanent post — three months. The Head of Division may extend to three and six months respectively.

Rule 260. Unclaimed Deposits

Unclaimed for **three years** after becoming refundable → credited to Government under “Miscellaneous Revenue”.

Chapter V — Numerical Ready-Reckoner

Item	Figure
Cash / notes security	2/3 of standard amount
Stamp vendor security	20 × pay
Minimum instalment (built-up deposit)	1/6 of pay
Verification scale	< 40 bonds: at least 1; > 40: one per 40 (or fraction)
Fresh security if surety lost	Principal has < 10 years' service
Refund waiting period	6 months
Time to furnish (temp / permanent)	1 month / 3 months
Extension by Divisional Head	3 months / 6 months
Retention of expired bonds	5 years (breach limitation 30 years)
Unclaimed deposit → Government	After 3 years → 'Miscellaneous Revenue'

Part D | Chapter VII — Forged Stamps, Coins & Currency

Rules 386–404/2. Forged, Counterfeit and Defaced Postage Stamps, Coins and Currency Notes — the official chapter, in its three Sections, with the current statutory position flagged throughout.

Section	Subject	Rules
I	Forged, counterfeit, fictitious or washed postage stamps (ordinary and service) and misuse of service stamps	386–400
II	Spoilt and defaced postage stamps	401–404
III	Counterfeit or fraudulently defaced coins or forged currency notes	404/1–404/2

Section I — Forged, Counterfeit, Fictitious or Washed Postage Stamps

Rule 386. Extent of Application

Under **Section 17 of the Indian Post Office Act (VI of 1898)**, postage stamps and impressions of stamping machines issued under the authority of the Central Government are “deemed to be stamps issued by Government for the purpose of revenue within the meaning of the Indian Penal Code.” The expression “postage stamps” therefore includes the impression of a stamping machine authorised to be used in prepayment of postage or other charges.

CRITICAL CURRENCY ALERT — THE STATUTORY HOOK HAS GONE

The **Indian Post Office Act, 1898** has been repealed by the **Post Office Act, 2023** (Act 43 of 2023), in force **18 June 2024**. Before that, the **Jan Vishwas (Amendment of Provisions) Act, 2023** had already deleted all offences and penalties from the 1898 Act (w.e.f. 29.12.2023).

The Post Office Act, 2023 runs to only **16 sections**. It contains **no offences or penalties** (the sole consequence is recovery of unpaid sums as arrears of land revenue), and it does **not re-enact the Section 17 deeming provision**. Section 4 preserves only the Post Office's **exclusive privilege of issuing postage stamps**.

What this means: Rule 386's express statutory deeming no longer exists. Counterfeiting a postage stamp is still an offence, because **BNS 178** directly criminalises counterfeiting a “Government stamp” on its own words — the

deeming clause is not needed for that. But the specific “for the purpose of revenue” characterisation is no longer statutorily deemed. **Treat this as an unsettled point** — state the Manual's rule, then note the repeal.

SAVINGS CLAUSE – WHY THE MANUAL STILL OPERATES

Section 16(2) of the Post Office Act, 2023 provides that rules, notifications and orders made under the 1898 Act continue in force **in so far as they relate to matters for which provision is made in the new Act and are not inconsistent with it**, until superseded. Note also the **Post Office Rules, 2024** (G.S.R. 767(E), in force 16.12.2024), made under Section 12, which **supersede the Indian Post Office Rules, 1933**.

Rule 387. Cases Which Are NOT Offences

Two situations are expressly not offences:

- A **previously used postage stamp** from which **no attempt has been made to remove the marks of obliteration**, detected on an article already posted.
- A **service stamp** from which **no attempt has been made to remove the letters denoting service**, detected on a private article posted.

Action in such cases

- The stamp is **ignored**; the article is charged with the postage to which it becomes liable and forwarded to destination with a remark stating the reason for the charge.
- A note of the occurrence is made in the **error book** (post offices) or the **note-book** (RMS mail offices).
- If handed in at the **window**, it is returned to the presenter with the remark that such a stamp cannot be recognised in payment.

Rule 388. Service Stamps on a Private Letter

Prepayment by service stamps of a private letter certified by a Government official to be “On India Government Service” or “On Service” is **not a criminal offence**, but steps should be taken to have the matter dealt with **departmentally**.

Rule 389. Offences — and Their Current BNS Equivalents

The Manual tabulates the offences against the **Indian Penal Code**. The IPC has been replaced by the **Bharatiya Nyaya Sanhita, 2023** (in force 01.07.2024). The mapping is below — **learn the BNS column**.

Manual category	Offence	IPC (Manual)	BNS 2023
(i) Stamp forged, counterfeit or fictitious	Counterfeiting a Government stamp	255	178
	Using as genuine a Government stamp known to be counterfeit	260	179
	Using knowingly for any postal purpose any fictitious stamp	263A	186
(ii) Stamp with obliteration washed out / removed / concealed	Using a Government stamp known to have been before used	262	184
	Erasure of mark denoting that stamp has been used	263	185
(iii) Service stamp with 'Service' removed	As per item (i)	255 & 260	178 & 179
	Theft	378	303
	Criminal breach of trust by public servant	409	316(5)
	Dishonestly receiving stolen property	411	317(2)

VERIFIED — BNS CONSOLIDATION

BNS 178 is a **consolidating** section: it merges the old IPC 232 (counterfeiting coin), 255 (Government stamp) and 489A (currency notes) into a single offence — “Counterfeiting coin, government stamps, currency-notes or bank-notes.” Likewise BNS 179 covers **using as genuine** forged/counterfeit coin, Government stamp, currency notes or bank-notes. This consolidation is itself a favourite exam point.

Flagged: the BNS numbers for theft (303), criminal breach of trust by a public servant (316(5)) and receiving stolen property (317(2)) should be confirmed against

the bare BNS — published mapping tables are not always consistent on sub-section numbering.

Rule 390. Action on Detection — Three Situations

1. **Detected in a post office at district HQ.** The officer-in-charge **detains** the article and at once lays information before a Magistrate of the first class (or an empowered Magistrate of the second class) as to the offence committed, asking him to take steps to obtain possession of the article. If the District Magistrate is away, intimation may be given to any Magistrate, or to the District Superintendent of Police / Police Commissioner, to authorise detention pending orders. **The article is NOT delivered up to the Magistrate or the police** — only information is given, with a view to the issue of a necessary order. There is no prohibition on producing it for the Magistrate's inspection. Pending orders, the article may be provisionally detained, and full particulars reported at once to the Head of Circle or the Superintendent.
2. **Detected in an office NOT at district HQ, or in a mail office.** The officer-in-charge sends the article, with a report of the circumstances, in a **service registered cover** to the officer-in-charge of the post office at the district headquarters, and simultaneously forwards a copy of the report to the Head of Circle / Superintendent.
3. **Article handed in at a counter or mail office.** The name and address of the presenter is ascertained and he is informed that the article will be **detained for enquiry**. Information is given at once to the police. If a receipt would ordinarily be granted (e.g. a registered letter), a **manuscript receipt bearing the date-stamp** is given instead, stating that the article is detained for enquiry as it bears a suspicious stamp.

LEGISLATIVE UPDATE — CRPC REFERENCES IN RULE 390

Rule 390 cites the **Code of Criminal Procedure, 1973**, which has been replaced by the **Bharatiya Nagarik Suraksha Sanhita (BNSS), 2023** (in force 01.07.2024). The provisions invoked map as follows:

- **CrPC §92** (procedure as to letters and telegrams — power of the District Magistrate / Chief Judicial Magistrate / Court of Session / High Court to require the postal authority to deliver a document, parcel or thing) → **BNSS §96**.

- **CrPC §190** (cognizance of offences by a Magistrate) → **BNSS §210**. Under §190(1)(a) a Magistrate may take cognizance whether the offender is known or unknown.
- **CrPC §154** (information in cognizable cases — FIR) → **BNSS §173**, which additionally provides for **Zero FIR and electronic registration**.

Flagged: confirm the BNSS section numbers against the bare Sanhita; CrPC→BNSS mapping tables differ between sources.

Rule 391. Detection at an Intermediate Office

If a suspicious stamp is detected at an office that is neither the office of posting nor of destination (or in a section / mail office), the article is **forwarded enclosed in an envelope to the postmaster of the office of destination** — irrespective of whether either office is at a district headquarters — with a note drawing attention to the suspected offence.

Outward foreign mail articles are instead **returned to the office of posting**, or sent to the **office of exchange** if the posting office's stamp impression is illegible, which then acts under Rule 390.

Rule 392. Receipt in the Circumstances of Rules 390(ii) and 391

The article is dealt with as if the irregularity had been detected in that office.

Rule 393. The Poster Is Not Necessarily Guilty

It must be borne in mind that the poster of an article bearing a forged, counterfeit or fictitious stamp is **not necessarily the person guilty** — he may show his purchase was **bona fide**. In some cases such a stamp has been affixed deliberately to cause **annoyance to an innocent person** whose name has been used in a fictitious letter inside. In such cases it is equally necessary to use every endeavour to discover the real perpetrator of the fraud.

EXAM INSIGHT — A FAVOURITE NUANCE

Rule 393 is the Manual's caution against assuming guilt from possession. Pair it with Rule 387 (no attempt to remove obliteration = no offence): both turn on **intention**, not the mere presence of a bad stamp.

Rule 394. Misuse of Service Stamps by an Official

A Government official entrusted with service stamps for the prepayment of official correspondence who **removes the marks upon them by erasure** would, in addition to the penalty for such act, be chargeable with **criminal breach of trust** — under **Section 409 IPC**, now read as **BNS 316(5)** (criminal breach of trust by a public servant).

Inward Foreign Mail Articles (Rules 395–400)

N.B. — the expression “postage stamps” includes impressions of franking machines.

Rule 395. Receipt with Form C-10

An article of the foreign mail bearing a postage stamp which the post office of the **country of origin** has reason to believe counterfeit, fictitious or previously used is received from that country enclosed, along with a special advice in **Form C-10**, in a **service registered cover** addressed to the office of destination.

Rule 396. Notice to the Addressee

On receipt for delivery, the article is shown to the postmaster, who serves the addressee with a notice inviting him to attend **either in person or by an agent duly authorised in writing**, at the post office, **within 48 hours**, to receive delivery.

Rule 397. Delivery — Three Conditions

If the addressee or his agent attends within the time specified, the article **may be delivered**, provided that he:

- pays the **postage due**; and
- consents to make known the **name and address of the sender**; and
- surrenders to the postmaster the **portion of the article bearing the address and the postage stamp** — or, if that portion is inseparable, the **entire article**.

Rule 398. Non-Delivery

If the addressee fails to attend within the specified time, or having attended refuses to disclose the sender or to make over the required portion / entire article, **the article shall not be delivered**.

Rules 399–400. Form FMS-21 and Onward Transmission

4. The postmaster records a statement in **Form FMS-21** setting out the action taken and the facts (failure to attend, refusal to disclose the sender, etc.).

5. The statement, together with the portion of the article (or the entire article) and the **Form C-10 advice**, is submitted through the prescribed channel to the **Head of the Circle** in which the office of delivery is situated.
6. The Head of Circle forwards them to the **office of the Director General**, for transmission to the **Postal Administration of the country of origin**.

The three Notes to Rule 400

- **Note 1** — Form FMS-21 is supplied to **head offices only**. A sub or branch office receiving such an article places it **in deposit** and obtains the head office's instructions; the head office forwards a copy of FMS-21 with clear instructions.
- **Note 2** — If the addressee has **changed his address** and left redirection instructions, the article with the C-10 advice is sent in a service registered cover to the postmaster of the new office of delivery (or its head office). If no redirection instructions were left, both are submitted with a report to the Head of Circle.
- **Note 3** — If an Indian **office of foreign exchange** receives such an article intended for delivery by another office, it forwards the article and advice to that office (or its head office) in a cover registered on service.

Form C-10 — what it records

The C-10 advice is headed “**Presumed fraudulent use of postage stamps or franking impressions**”. A copy goes to the administrations of origin and destination as well as the office of destination. It records the nature of the presumed fraud under six heads:

Counterfeit	Already used
Counterfeit postage stamp	Already used postage stamp
Counterfeit franking machine impression	Already used franking machine impression
Counterfeit printing press impression	Already used printing press impression

It also records: nature of item; office of origin; date of posting; copy of address; presumed irregularity; observations; and stamp, date and signature.

CURRENCY NOTE — WHY RULES 395–400 STILL WORK

This procedure implemented **Section 18 of the Indian Post Office Act, 1898** (notice to the addressee of a foreign article bearing a fictitious or previously used stamp) — a section that has **not been re-enacted** in the Post Office Act, 2023.

However, **Form C-10 is a Universal Postal Union form**, and the advice procedure is an **international obligation under the UPU Convention and its Letter Post Regulations** — not merely a creature of domestic statute. The operational procedure therefore continues to bind India Post as a UPU member, even though its domestic statutory hook has gone. **Flagged:** the current UPU Regulations should be checked for the present form designation and time limits.

Section II — Spoilt and Defaced Postage Stamps (Rules 401–404)

Rule 401. Stamps Not Recognised

Postage stamps — whether adhesive, embossed, impressed or printed — which have been:

- (a) defaced, obliterated, or marked (e.g. impressed with a rubber or other stamp, or bearing penmarks or writing of any kind, or having anything printed on them otherwise than by the authority of Government);
- (b) separated from embossed envelopes, postcards or wrappers;
- (c) torn or cut; or
- (d) otherwise rendered imperfect —

will **not be recognised** in payment of postage or any postal fees. Such stamps, when found affixed to a postal article or document, **will not be defaced**; a remark stating why they have been ignored is written on the article.

Rule 402. Perforated Stamps Are Fine

There is **no prohibition** against the use, for payment of postage or postal fees, of postage stamps **perforated with initials or other identifying marks traced in minute holes**.

Rule 403. The Rule of Leniency

The prohibition against marking should **not be too strictly enforced** for embossed or impressed stamps borne by embossed envelopes, wrappers and postcards:

- Where a letter of the **address encroaches** on the stamp and the encroachment is obviously accidental — the stamp **should be recognised**.
- Where the sender's **seal** on a registration envelope extends over a small part of the embossed stamp — not imperfect merely on that account.
- A stamp on an article presented for despatch should not be ignored merely because it is **torn, if the tear is slight and obviously accidental**.

Whenever it is proposed **not** to recognise an embossed or impressed stamp, the article is shown to the **postmaster or head sorter**, who himself decides.

FOOTNOTE TO RULE 403 — DELEGATION

The postmaster's personal duties under this rule may, under the orders of the Head of Circle, be performed by the **deputy postmaster or assistant postmaster** (head offices), and by the **deputy sub-postmaster or assistant sub-postmaster** (sub-offices).

Rule 404. Embossed and Registration Envelopes

- **Embossed envelopes** — whether cut open or not — **may** be used as wrappers for newspapers, etc.
- **Registration envelopes** — **may NOT** be used for the transmission of unregistered articles.

Section III — Counterfeit Coins & Forged Currency Notes

Rule 404/1. Coins Suspected AFTER Receipt

Procedure for coins which, **after receipt**, are suspected to be counterfeit or fraudulently defaced:

- (a) Such coins — whether received from the public or another office — are sent to the **treasury office for examination**. If counterfeit or fraudulently defaced, the treasury officer, **after cutting and breaking them**, either returns the pieces or (if he keeps them) pays for the coins according to the value of the silver bullion. Coins received from another office are enclosed in a cover bearing that office's name, and the treasury officer is specially asked to return the cover with the broken pieces or voucher.
- (b) **Received from the public:** the broken pieces / voucher are made over to the **official who received the coins**, who is required to pay the **face value**.
- (c) **Received from another office:** the pieces / voucher are sent to that office with instructions to recover the face value from the official who received them from the public, and remit the amount at once.
- **A. Sub-office not at a treasury station:** suspected coins go to the head office **like an ordinary remittance**, but in a **separate cover** marked with the number and

description of the coin and the words “suspected to be counterfeit / fraudulently defaced”. The same applies to notes suspected to be forged.

The three Notes to Rule 404/1

- **Note 1 — Authorised to cut or break counterfeit coins:** the Directors at Mumbai GPO and Kolkata GPO, the Chief Postmaster Chennai GPO, and the Postmasters of the Head Offices at **Delhi, New Delhi, Bangalore, Shillong, Cuttack, Jaipur, Hyderabad, Ambala, Nagpur, Patna and Lucknow.**
- **Note 2** — As a general rule the official responsible for accepting counterfeit coins from the public must **make good their value** — **except** where the counterfeit is so clearly made that it cannot be detected with ordinary care and there is no negligence.
- **Note 3** — Note 2 applies **mutatis mutandis** to forged currency notes received in the course of transactions.

LEGISLATIVE UPDATE — COINAGE ACT, 2011

Rule 404/1 cites the **Indian Coinage Act, 1906**. That Act has been **repealed** by the **Coinage Act, 2011** (Act 11 of 2011), brought into force **28 March 2012**, which consolidated the Metal Tokens Act 1889, the Coinage Act 1906, the Bronze Coin (Legal Tender) Act 1918, the Currency Ordinance 1940 and the Small Coins (Offences) Act 1971 into one law.

The operative provision is now **Section 10, Coinage Act 2011** — where a coin is tendered to a person authorised under Section 9 and he has reason to believe it is counterfeit, **he shall cut or break the coin, and the tenderer shall bear the loss** caused by the cutting or breaking. Under Section 19, offences are **cognizable, bailable and non-compoundable**; under Section 21 they may be tried summarily.

The Manual's “value of the silver bullion” formula is a relic of the 1906 Act and is obsolete.

Rule 404/2. Presentation OVER THE COUNTER

(1) Forged currency notes — the Manual's procedure

- The tenderer is **informed** and handed an **acknowledgement** stating that the note (with its number and value) is suspected not to be genuine and is being sent to the Currency Officer / Treasury Officer for examination, and that enquiries should be addressed to that officer.

- The office forwards the note with a **duplicate of the acknowledgement** to the nearest Currency or Treasury Office.

(2) Counterfeit coins

- The Directors at Mumbai / Kolkata GPO, Chief Postmaster Chennai GPO, and Postmasters of the listed Head Offices **cut and return** counterfeit coins to the tenderers.
- At all other post offices the **forged-note procedure** is followed, the acknowledgement being suitably amended.
- Post offices other than the three Presidency post offices should **refuse to accept diminished and defaced coin**.

(3) Well-founded suspicion at the counter

The receiving clerk brings the matter **at once** to the postmaster, who takes charge of the note or coin. If satisfied it is counterfeit, he endeavours to ascertain the presenter's name and address and **must not return the note or coin even if pressed to do so**, until the case has been investigated. If the presenter leaves the premises meanwhile, the case is **handed to the police**.

(4)–(5) Where suspected notes and coins go

- Where there are branches of the **State Bank of India** — send there; otherwise to **treasuries**.
- Post Office employees should ordinarily be capable of identifying counterfeit coins; references to the Treasury / SBI should be **rare**. Unidentifiable coins go **once a week** or at agreed intervals.
- Safe custody: the postmaster **himself** takes over such coins, encloses them in a closed cover **sealed with his own seal**, and keeps them in his own custody until despatch.
- Forged notes that cannot be clearly identified must be sent to the Treasury / SBI **without loss of time**.

(II)–(III) Indemnity and impounding authority

- The **Reserve Bank indemnifies** all offices against the consequences of a presenter taking action against the office for carrying out this procedure.
- The RBI has authorised the **State Bank of India at all its offices to impound** forged currency and bank notes.
- Where there is neither a currency office nor an SBI branch, **Treasury Officers** are authorised to accept suspected notes — and suspected coins — tendered by post offices.

MAJOR CURRENCY ALERT — RULE 404/2 VS CURRENT RBI PRACTICE

The Manual's counter procedure is **substantially overtaken** by the RBI's framework on counterfeit notes. The RBI issued a consolidated **Master Direction on Detection and Impounding of Counterfeit Notes on 1 April 2026** (under Sections 35A and 56 of the Banking Regulation Act, 1949). The current position is:

- Counterfeit notes must be **IMPOUNDED** — **in no case returned to the tenderer** or destroyed. (The Manual's coin rule of “cut and return to the tenderer” survives only for coins, under Coinage Act 2011 s.10.)
- Each note is **stamped “COUNTERFEIT NOTE”** (uniform stamp of 5 cm × 5 cm) and recorded under authentication in a separate register.
- An **acknowledgement receipt** in the prescribed format is issued to the tenderer, in running serial numbers, authenticated by cashier and tenderer — **even if the tenderer refuses to countersign**. A notice to this effect is displayed prominently.
- Reporting to police: **up to 4 pieces** in a single transaction → **consolidated monthly statement** to the Nodal Police Station at month end. **5 or more pieces** in a single transaction → forwarded **immediately for FIR**.
- A district-wise **Nodal Officer** and a **Forged Note Vigilance (FNV) Cell** at Head Office are required; machine-based authenticity verification, CCTV coverage and pattern monitoring are mandatory; penalties apply for failure to impound.
- Production / smuggling / circulation of **High Quality Counterfeit Indian Notes** is **within the ambit of the UAPA, 1967**.
- The RBI's FIR format still cites **IPC §§489A–489E**; these now read as **BNS §§178–182**.

IMPORTANT SCOPE CAVEAT — READ CAREFULLY

The RBI Master Direction is issued under the **Banking Regulation Act, 1949** and binds **banks and treasuries**. A departmental post office is **not a bank** — India Post counters are governed by the Manual read with the Directorate's own instructions, while **IPPB counters are bank counters** and squarely within the RBI framework.

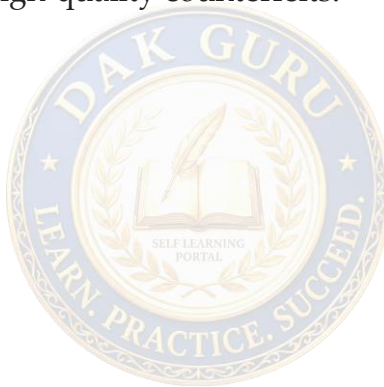
For the examination: state the Manual's Rule 404/2 procedure as written, then flag that the RBI impounding framework is the current reference standard and that the “return to the tenderer” approach for **notes** is inconsistent with it. **Flagged as unresolved:** the precise DoP instruction aligning post-office counters to the RBI

impounding regime has not been traced and should be confirmed with the Directorate.

Chapter VII — Ultra-Revision

- Chapter VII = Rules 386–404/2, in three Sections: I stamps (386–400), II spoilt/defaced stamps (401–404), III coins & notes (404/1–404/2).
- Rule 386: IPO Act 1898 s.17 deemed postage stamps to be Government revenue stamps — Act now REPEALED (Post Office Act 2023, w.e.f. 18.06.2024); no re-enactment; the 2023 Act has no offences at all.
- Rule 387: previously-used stamp / service stamp with NO attempt to remove marks = NOT an offence → ignore stamp, charge postage, note in error book (PO) / note-book (RMS).
- Rule 388: service stamps on a certified private letter = not criminal → deal departmentally.
- Rule 389 mapping: IPC 255→BNS 178; 260→179; 263A→186; 262→184; 263→185; 378→303; 409→316(5); 411→317(2).
- Rule 390: at district HQ → detain + lay information before Magistrate; NEVER hand the article to the Magistrate/police. Not at HQ → service registered cover to HQ office. Handed in → manuscript receipt + inform police.
- Rule 391: intermediate office → forward to office of DESTINATION; outward foreign → back to office of posting / office of exchange.
- Rule 393: the poster is not necessarily guilty — bona fide purchase; possible malice against an innocent person.
- Rule 394: official erasing marks on service stamps → criminal breach of trust (IPC 409 → BNS 316(5)).
- Rules 395–400: foreign article + Form C-10 advice → notice to addressee → 48 HOURS → deliver only on postage + disclosing sender + surrendering the stamped portion → else Form FMS-21 → HoC → DG → country of origin. FMS-21 to HEAD OFFICES ONLY.
- Rule 401: defaced / separated / torn / imperfect stamps not recognised — but NOT defaced; write a remark.
- Rule 402: stamps perforated with initials in minute holes ARE valid.
- Rule 403: leniency for accidental address encroachment, seal overlap, slight accidental tear — postmaster/head sorter decides.

- Rule 404: embossed envelopes may be used as newspaper wrappers; registration envelopes may NOT carry unregistered articles.
- Rule 404/1: suspected coins → treasury; official who took them from the public pays FACE VALUE, unless the counterfeit was undetectable with ordinary care and there was no negligence. Coinage Act 1906 → Coinage Act 2011 (s.10; tenderer bears the loss of cutting).
- Rule 404/1 Note 1: cut/break authority — Mumbai, Kolkata, Chennai GPOs + HOs at Delhi, New Delhi, Bangalore, Shillong, Cuttack, Jaipur, Hyderabad, Ambala, Nagpur, Patna, Lucknow.
- Rule 404/2(3): the postmaster must NOT return a suspected note/coin even if pressed; if the presenter leaves → police.
- Current RBI position (Master Direction 01.04.2026): impound, stamp 'COUNTERFEIT NOTE' (5×5 cm), acknowledgement to tenderer, never return; ≤4 pieces → monthly consolidated report; ≥5 pieces → immediate FIR; Nodal Officer + FNV Cell; UAPA for high-quality counterfeits.



Verification & Source Note

Primary sources — the Manual

- Postal Manual Volume II, Fourth Revised Edition (Director General Posts) — official text. Preface confirms 11 Chapters + 13 Appendices and that Chapter II is deleted. Chapter VII = Rules 386–404/2; the stationery rules (341-A–385) fall within Chapter VI (Stock), confirming that the earlier “Chapter 7 — Stationery” was a mis-numbering.

Primary sources — current law verified

- Post Office Act, 2023 (Act 43 of 2023) — in force 18.06.2024; 16 sections; s.4 exclusive privilege of issuing postage stamps; s.16 repeal & savings. No offences/penalties; no re-enactment of IPO Act 1898 s.17 or s.18.
- Jan Vishwas (Amendment of Provisions) Act, 2023 — removed all offences and penalties from the Indian Post Office Act, 1898 (w.e.f. 29.12.2023).
- Post Office Rules, 2024 — G.S.R. 767(E), in force 16.12.2024, in supersession of the Indian Post Office Rules, 1933.
- Bharatiya Nyaya Sanhita, 2023 & Bharatiya Nagarik Suraksha Sanhita, 2023 — in force 01.07.2024. BNS 178 consolidates IPC 232/255/489A; BNS 179 = using as genuine; BNS 183–186 = IPC 261–263A.
- Coinage Act, 2011 (Act 11 of 2011) — in force 28.03.2012; repealed the Indian Coinage Act 1906; s.10 power to cut counterfeit coins, tenderer bears the loss; s.19 offences cognizable, bailable, non-compoundable.
- RBI Master Direction on Detection and Impounding of Counterfeit Notes, dated 01.04.2026 (Banking Regulation Act 1949, ss.35A & 56) — impounding, 'COUNTERFEIT NOTE' stamp 5×5 cm, acknowledgement to tenderer, ≤4 pieces monthly report / ≥5 pieces FIR, Nodal Officer, FNV Cell, UAPA for high-quality counterfeits.
- Delegation of Financial Powers Rules, 2024 — in force 01.04.2024, replacing DFPR 1978 (Chapter IV money limits).
- CCS (CCA) Rules, 1965 — in force; Rule 29-A review by the President.

This material is a study aid only and does not constitute an official or legal publication. The original Postal Manual Vol II, the relevant Rules and the latest Government of India notifications shall always prevail.